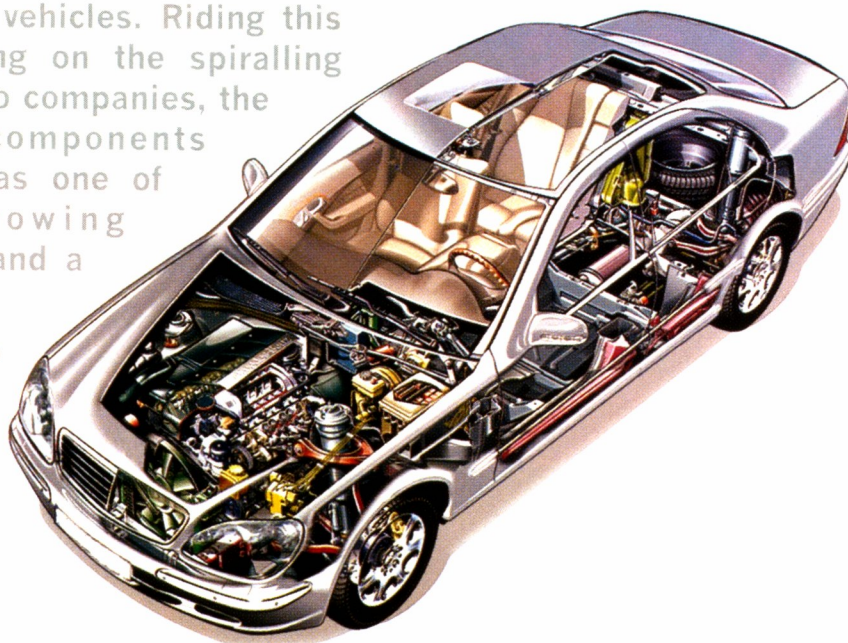


# A to Z of Automobiles

The world's top car makers turn to India for the nuts and bolts of their vehicles. Riding this success, and capitalizing on the spiralling demand of domestic auto companies, the Indian automobile components industry has emerged as one of India's fastest growing manufacturing sectors, and a globally competitive one.

The Indian auto component industry is likely to almost double to Euro 14 billion by 2009 and reach about Euro 29.94 billion by 2014.



persuade their overseas components suppliers to set up local manufacturing base in India. For example, Delphi followed after General Motors opened its plant in the state of Gujarat in 1995 and Visteon followed Ford in 1998.

As these companies developed and stabilized their Indian operations, they realized the cost advantage of manufacturing components in India – typically lower by about 30%. They began to explore the possibility of exporting back these low cost, high quality components to their global factories and thus reduce their overall costs.

**Big players go high-tech** The auto components industry in India is dominated by around 500 key players, which contribute more than 85 per cent of India's production. Some of the largest, like Motherson Sumi, Sona Koyo Steering Systems, Rico Auto Industries, Bharat Forge, Amtek and Mahindra & Mahindra are scaling up from producing individual components to making assemblies and systems, as automobile makers seek to manage fewer vendors and trim costs.

**Government initiatives** The Government of India allows automatic approval for foreign equity

investment up to 100 per cent for the manufacture of auto components. Manufacturing and imports in this sector is free from licensing and approvals. There is no local content regulation in the auto industry

Indian component suppliers have displayed a growing capability to cater to the engineering and production needs of the some of the world's biggest auto companies.

This is largely due to:

- Proficiency in understanding technical drawings and being well conversant in all global automotive standards: American, Japanese, Korean and European
- Appropriate automation has led to economically attractive production costs
- Flexibility in small batch production
- Growing IT capability for design, development and simulation

Exciting times lie ahead for the Indian automotive component industry. Besides the burgeoning demand from global auto majors, there is also the domestic car industry, which is growing at a spanking rate of over 16 per cent, driven by a rising consumer base and affordable loans.

